

QLmonthly June 2026 ¹

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¹Based on Ellieroth & Michaud, "Quits, Layoffs, and Labor Supply" Institute Working Paper 94 (2024)

Contents

1. Recent Developments in Layoffs, Quits, and Job Finding
Our reading: Stable, steady labor market.
2. This Month's Special Topic: Low Layoff Rates: The Pattern Looks Familiar. The Choices Don't.

Layoffs Continue Clear and Strong Decline

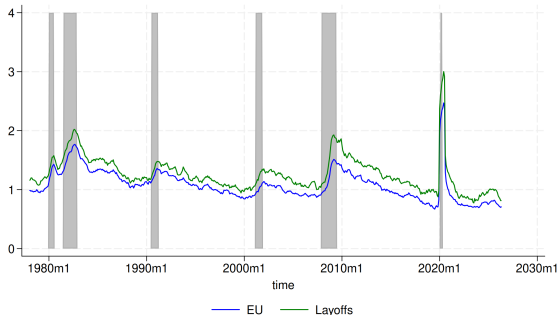


Figure: Prime age monthly Employment to Unemployment (E-to-U) flows and layoffs to non-employment from CPS household survey.

- Layoffs and flows from Employment to Unemployment (EU) show a clear and strong decline
- Layoffs and EU converge: learn more about what that means in the special topic!

Quits Stable

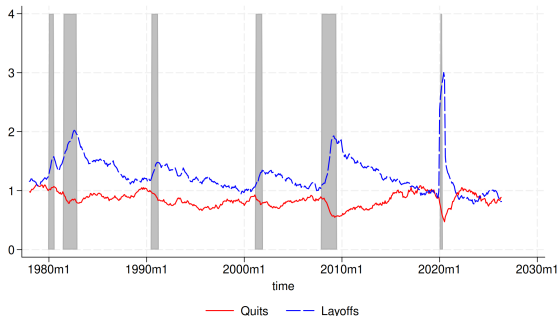


Figure: Quits and Layoffs to non-employment

- Quits are stable, with signs of increase, but noisy
- Noteworthy, the level of quits is currently higher than the level of layoff rates.

Job Finding Rates Stable

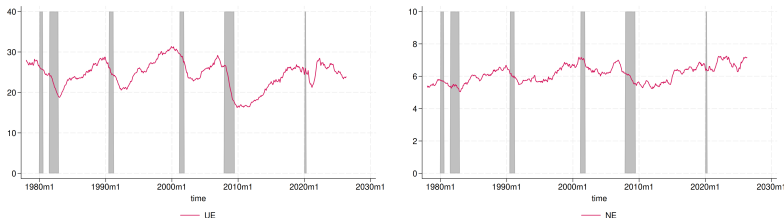


Figure: Job finding rates from unemployment (left) and non-participation (right) for Prime Age Workers

- ▶ Job finding rates remain stable.
- ▶ Finding rates for unemployed show early signs of increase, while finding rates for non-participants remain near all time high.

What do we make of this?

Labor market remains very stable.

Recap: Household survey (CPS) indicates:

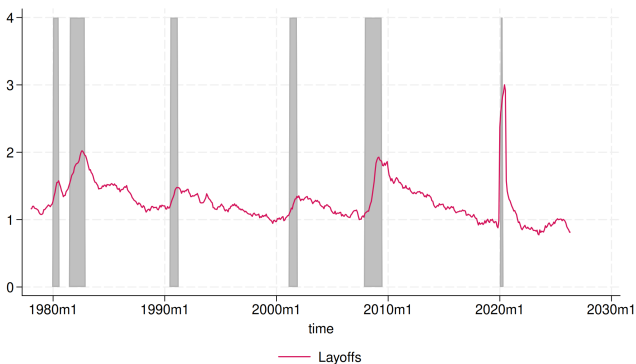
- ▶ Quits and layoffs signal a steady labor market.
 - ▶ Stable, possible increasing, quits + decline in layoffs signal steady labor market.
- ▶ Job finding rates from U and N are stable
- ▶ Layoffs and EU flows decline

Our reading: Flows signal steady labor market, show no concerns.

Discussion of the Month

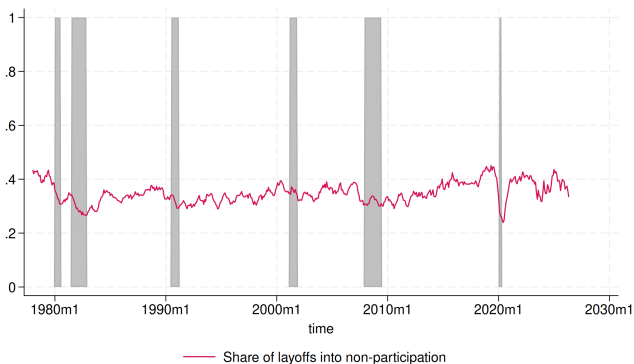
Low Layoff Rates: The Pattern Looks Familiar. The Choices Don't.

Low layoff rates are a familiar feature of expansions...



- Layoffs have been low in previous expansions
- Layoff rates are at historic lows at the moment, however, there is no structural shift in layoff rates since the late 1970s

... but that's not the whole story: Laid-off workers used to leave. Now they stay.



- Historically, low layoff rates come with many laid-off workers leaving the labor force — the two move together (correlation: -0.25)
- Today breaks that pattern: laid-off workers are increasingly flowing into unemployment rather than out of the labor force

What Does it Mean? And Why Does It Matter?

- ▶ If laid-off workers increasingly stay in the labor force, low layoff rates may put more upward pressure on unemployment than historical patterns would suggest
 - ▶ All else equal, as this also depends on layoff rates and job finding rates
- ▶ Whether this shift is durable depends on why it's happening: tighter labor markets making job search more worthwhile, shifts in who is getting laid off, or changing expectations about reemployment prospects
- ▶ We don't know yet – time and data will tell. Worth watching.